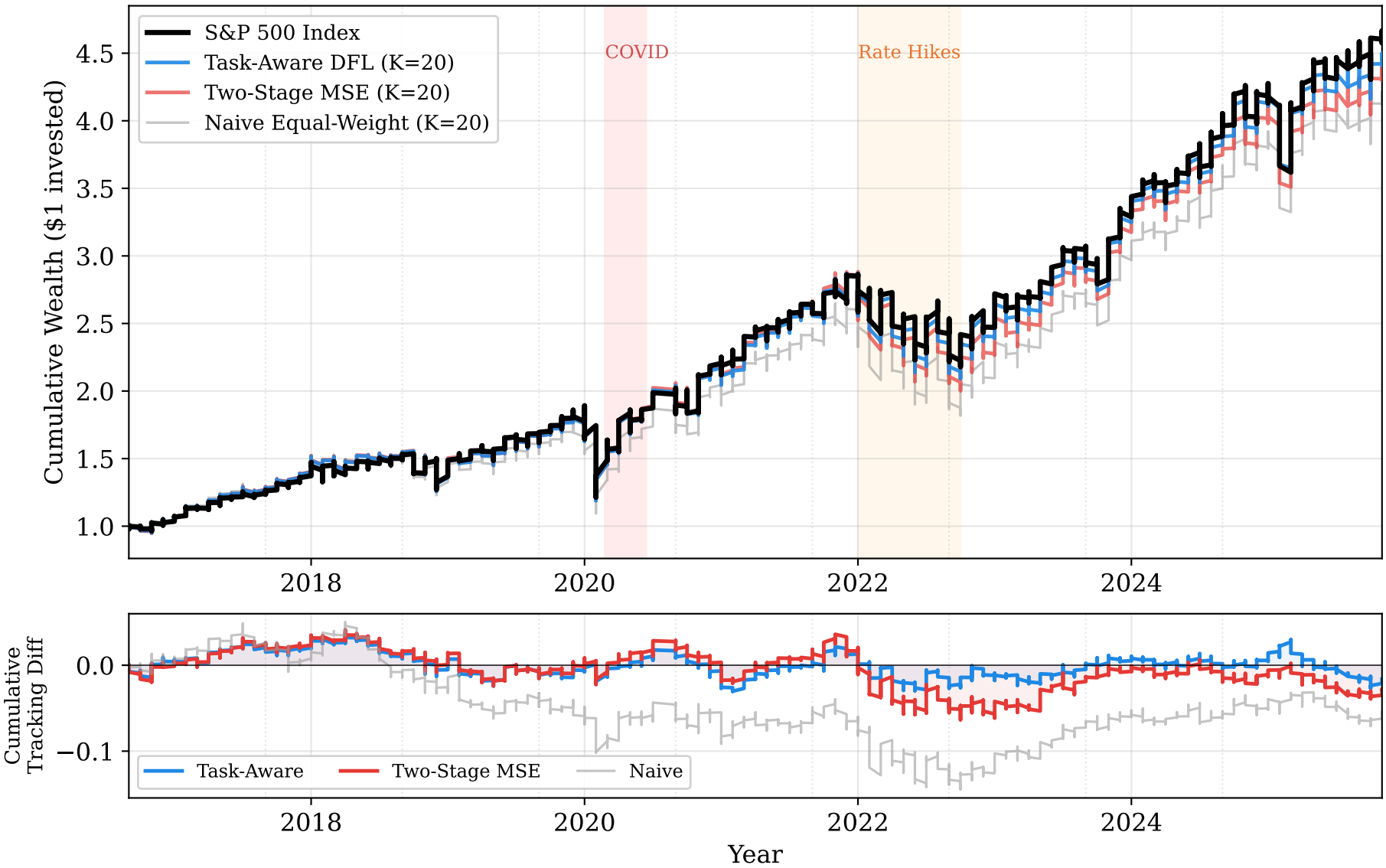

Sparse Index Tracking: 20 Stocks Replicate the S&P 500 (2016-2025)
S&P 500 Index
Task-Aware DFL (K=20)
Two-Stage MSE (K=20)
Naive Equal-Weight (K=20)
COVID
Rate Hikes
Cumulative Wealth ($1 invested)
1.0
1.5
2.0
2.5
3.0
3.5
4.0
4.5
2018
2020
2022
2024
Cumulative Tracking Diff
0.0
−0.1
Task-Aware
Two-Stage MSE
Naive
2018
2020
2022
2024
Year